



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Avinash Tanawade (022) 67141449

Analyst Day @ Dalal&Broacha

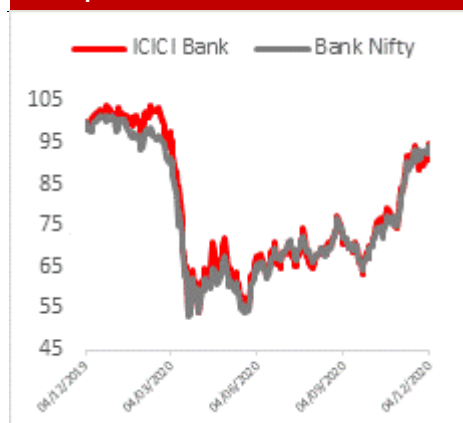
BUY

Current Price	502
Target Price	576
Upside	15
52 Week Range	269/552

Key Share Data

Market Cap (Rs.Bn)	35
Market Cap (US\$ Mn)	470
No of o/s shares (Mn)	6896
Face Value	2
BSE Code	532174
NSE Code	ICICIBANK
Bloomberg	ICICIB:IN

Price performance



% Shareholding	Sep-20	Jun-20
Promoters	0.00	0.00
FII	45.68	42.98
DII	44.12	46.15
Others	10.20	10.87
Total	100	100

We attended the analyst day of ICICI Bank (IBK) and came out with a positive view on the bank. It's no surprise that the bank is gung ho on technology, considering the extensive benefits it yields when implemented and used properly. During the course of several presentations, the bank demonstrated how it is using technology to enhance its capabilities for better efficiency & productivity. The innovative products that management emphasized are not only have the potential to make customers' life easy but will also bring down TAT for the bank. The core theme that we picked up was the enhanced focus on tightening processes across business verticals and synergising value across business divisions ('one bank, one RoE').

Building a retail banking with a digital edge:- Bank has re-emphasized its focus on retail banking by implementing new technological solutions that increase customer-interaction and improve customer satisfaction. The bank is also looking to optimizing its cost structure by offering insta products through digital channels. The bank's digital solutions have greater efficiency (leading to lower opex) and lesser delinquencies (pre-approved limits based on customer profiles). In secured lending, the bank is trying to smoothen its loan processes through rule based under-writing, which would reduce turn-around-time (TAT) and enhance the decision making process. In un-secured lending, its growth strategy has largely revolved around internal customers.

Business Banking (BB): - While BB is currently a small part of the bank's overall loan book (4.8% as of 2QFY21), management expects this portfolio to deliver strong growth on an on-going basis (BB loan book grew 37% YoY in 2QFY21), which would lead to a continued increase in its share of overall loans. Bank follows four levers of business strategy: (i) customized product offering, (ii) Enhance ecosystems through Partnerships with fin techs, (iii) Capturing Customer 360 degree relationship and (iv) Leverage Distribution. The portfolio is fully collateralized with Avg ticket size of Rs 10-15 mn.

Corporate Banking (focus on maximising risk calibrated core operating profit):- the bank continued its focus on two prolonged factors – quality of portfolio and quality of earnings. Opportunities are available at a large scale as consolidation theme is playing out (all large borrowers now want fewer lenders), which is working in favour of ICICI Bank due to its strong liability franchise and pan India branch network. Bank has standardized credit process, with significant digitization & automation, for faster TAT and increased efficiency. Operating profit in the corporate segment has grown 1.6x over FY18-20 driven by a growth of 2x in corporate liabilities (both term and current), steady asset growth of 1.3x over two years (including originations) and strong increase in FX & trade market share.

Outlook

We believe that the bank's extensive use of technology will help its loan growth to outpace opex and credit costs, driving expansion in Profitability. Bank has navigated well through a challenging macro environment, with a strong focus on processes and risk-adjusted returns. We also believe that Bank will remain a long-term beneficiary of the consolidation theme playing out in the domestic financial market thanks to its superior liability franchise. We take comfort from its tier-1 capital (17.02%) and Covid-19 related provisions, which provide an additional buffer to cushion any adverse effect of sudden spikes in slippages. At CMP, stock trades at 2.6x its FY21E ABV and 2.3x its FY22E ABV. We maintain a 'Buy' rating on ICICI with a price target of Rs 576, valuing the stock at 2.2x FY22E standalone P/ABV and ascribing a value of Rs 102 for subsidiaries.

Financials (In INR Bn)

Year	NII	PPOP	PAT	ROA	ROE	Adj BVPS	P/ABVPS
FY20	333	281	79	0.8	7.1	165	3.0
FY21E	370	335	134	1.2	10.3	191	2.6
FY22E	425	379	185	1.4	12.2	216	2.3



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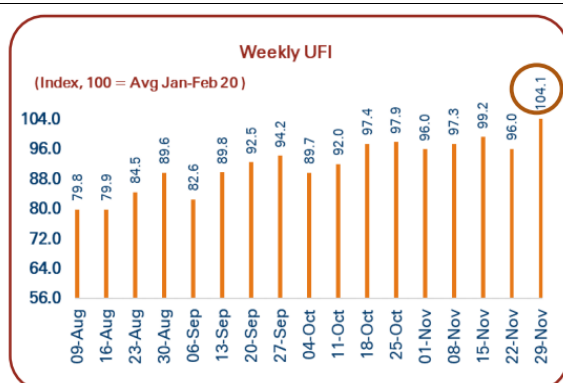
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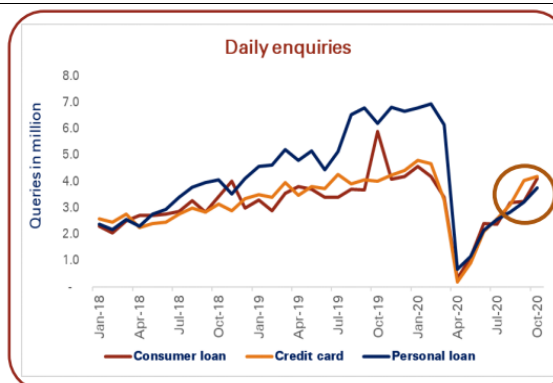
Macro economic trends: Strong Economic recovery underway

- Bank's recent interactions with corporates indicate that corporates are more optimistic now than they were near pre-Covid level except for selective sectors largely related to travel & tourism.
- Strong revival seen in corporate capex; initiated by the government and PSUs and then percolate to private players (key sectors like Steel, cement and pharma supply chain are driving capex).
- Bank's comment like revival in capex hints at a good traction in corporate profitability.
- Bank's Ultra Frequency Index, comprising several high frequency indicators, stood 94 for the week ending Nov 29, indicating that economic activity is at about 104% of the pre-COVID levels.

Exhibit 1: Regained growth across indicators, trending towards return to normalcy



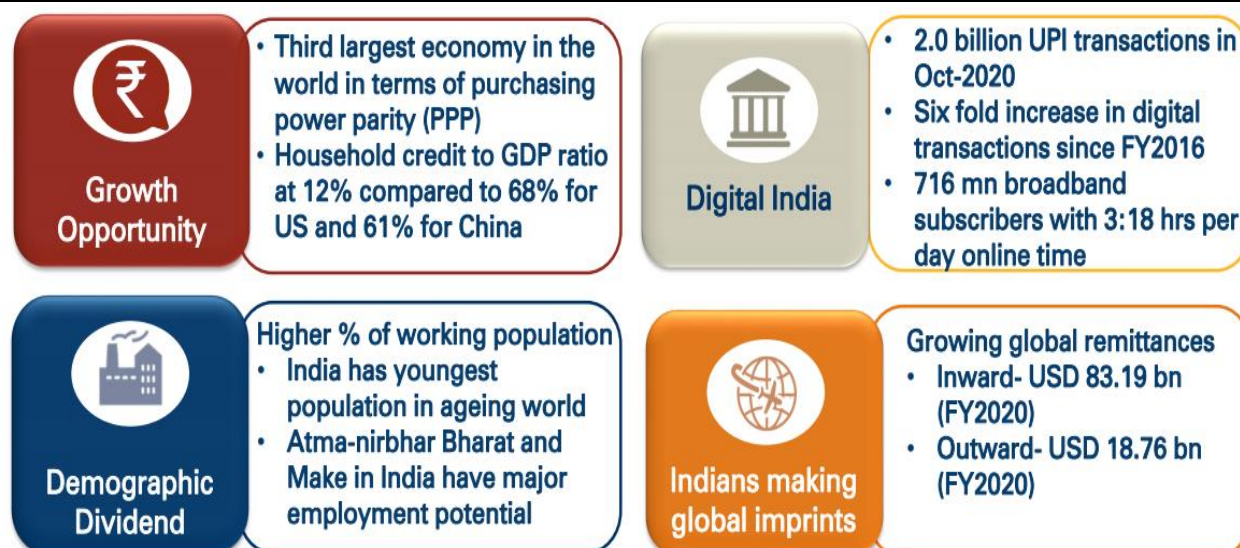
ICICI Bank's Ultra Frequency Index touched 104.1% in the week of Nov 29, 2020



Sharp recovery in the demand for consumption loans

Source:- Company, Dalal & Broacha Research

Exhibit 2: Rapidly growing banking opportunity driven by affluence growth



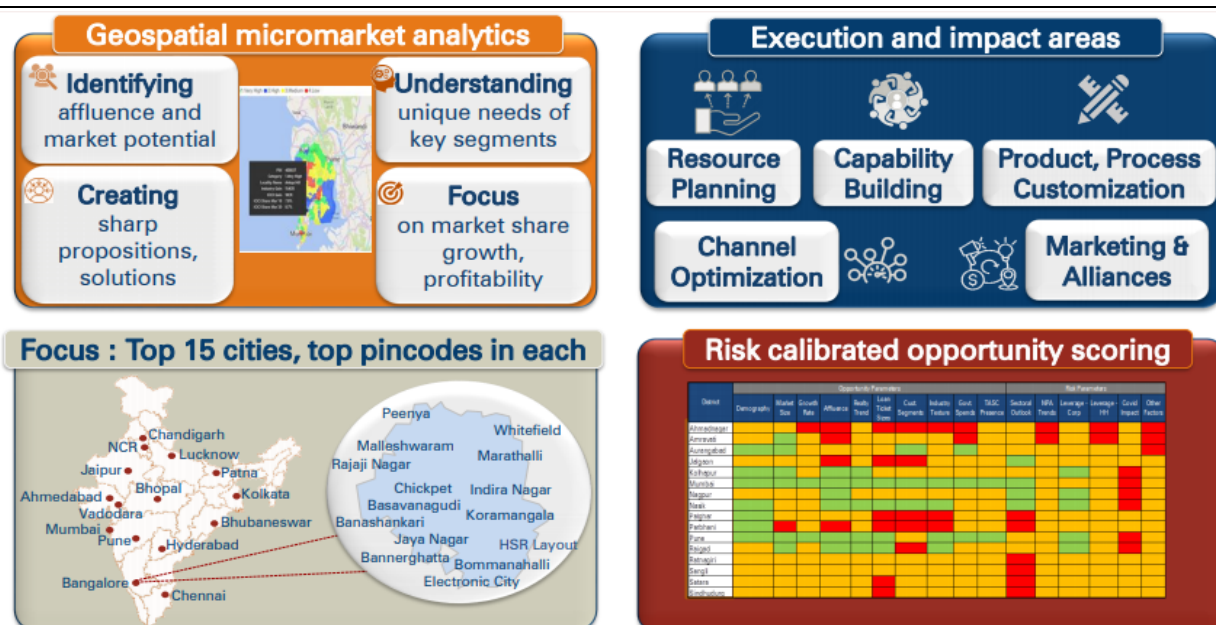
Source:- Company, Dalal & Broacha Research

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Micro-market approach to increase market share

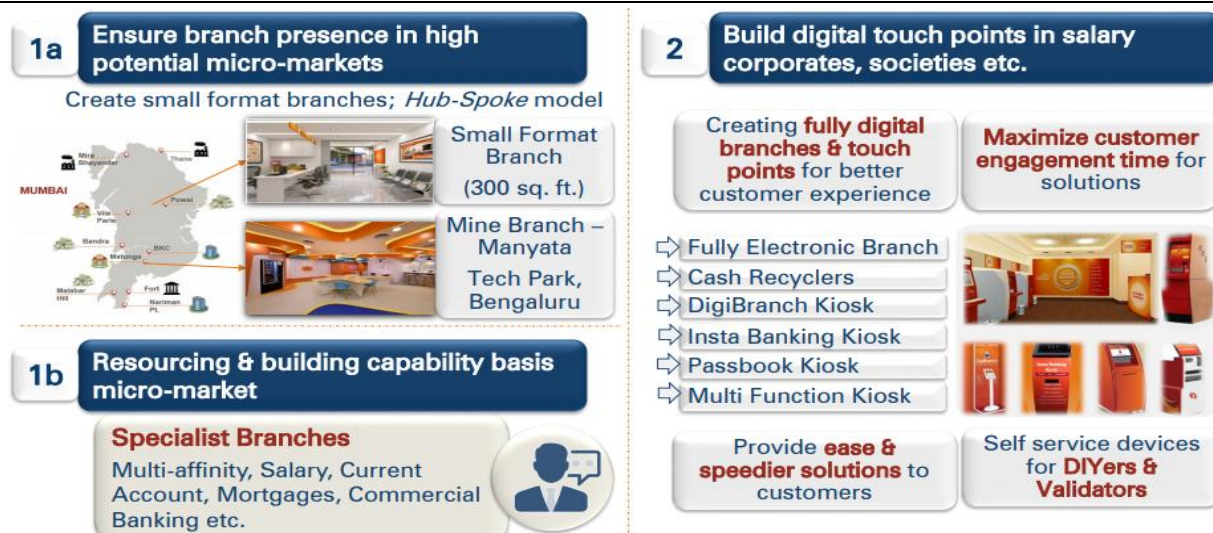
Leverage Data & Digital Platforms through penetrative Distribution strategies; 1) bank is Identifying potential micro-markets through data & analytics; 2) then expand its network in micro-markets by creating touchpoints near to customers; 3) and strengthen customer engagement through team of relationship managers; 4) develop digital & virtual engagement methods for widening customer coverage. Bank has develop a hub-spoke model (Creating small format branches ~ 300 sq. ft). Small branches further increases its reach and reduce cost of operations, thus augmenting bank's profitability.

Exhibit 3: Curating relevant solutions for every market



Source:- Company, Dalal & Broacha Research

Exhibit 4: Leveraging branch network & digital touchpoints



Source:- Company, Dalal & Broacha Research



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Building a retail banking with a digital edge

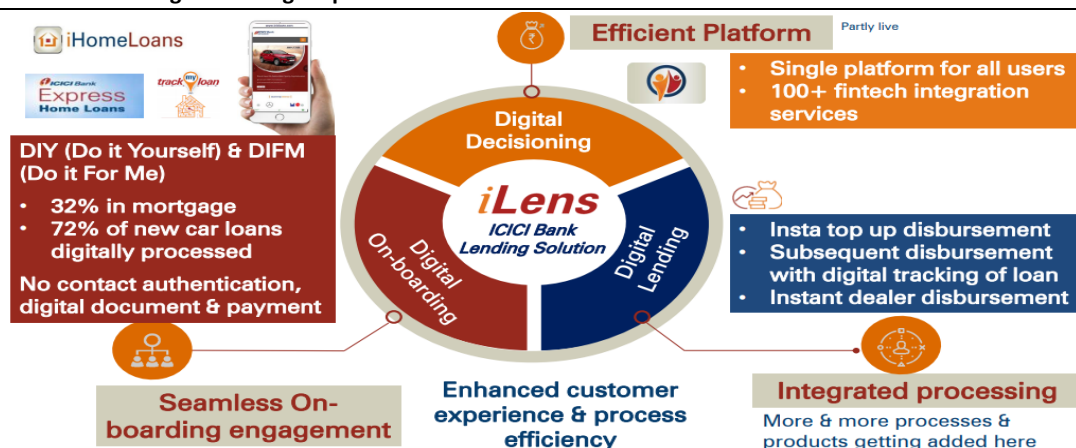
Bank has built a comprehensive digital banking ecosystem (360 degree solution contextual to customers' life)

- Built to address all needs of customers
- Hyper-personalized curated
- Cater to banking and beyond banking needs
- INSTA & digital solution for every journey

Digital solutions helped in quick turnaround

- 32% of new mortgages and 72% of new car loans processed digitally. Secured loan disbursements in Oct 2020 are at 133% of Feb 2020 level and, in Sep 2020, were at 111% of Feb 2020 level.
- The share of digital origination of personal loans has increase from 32% in FY19 to 88% in 1HFY21. Personal loan disbursements in Oct 2020 are at 82% of the average monthly disbursement observed in 4QFY20 and in 2QFY21, the comparable metric had stood at 62%.
- Share of digital card Origination has gone up from 20% in FY19 to 34% in FY20 and to 77% in 1HFY21. Cards-in-force moved from 9.11mn as of 4QFY20 to 9.07mn as of 1QFY21 and then to 9.27mn as of 2QFY21 and then, finally, to 9.49mn as of Oct 2020.
- Credit card spends in Oct 2020 are at 107% of the monthly average observed in 4QFY20 and in 2QFY21, the comparable metric stood at 83%.

Exhibit 5: Seamless with decongested & digital processes



Source:- Company, Dalal & Broacha Research

Exhibit 6: End-to-end stack for developing data use cases across products and functions

Best in class capabilities

- Strong in-house analytics team
- Expertise in model development, use of open source tools

Data governance

- Strong adherence to standards of data privacy and data protection



Customer one-view

- Extensive use of internal, external datasets to build customer profiles

Implementation focus

- Strong data engineering capabilities
- Rule engines and real time model deployments

Source:- Company, Dalal & Broacha Research

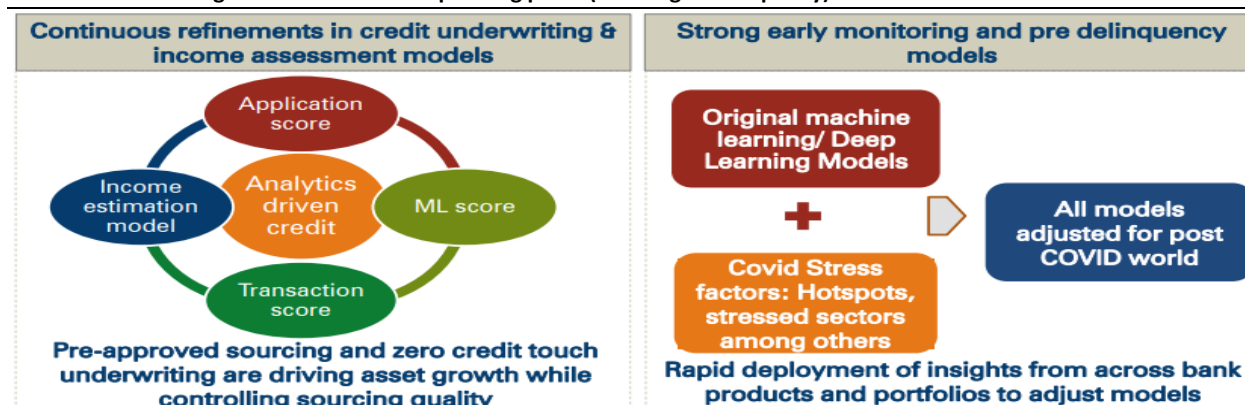


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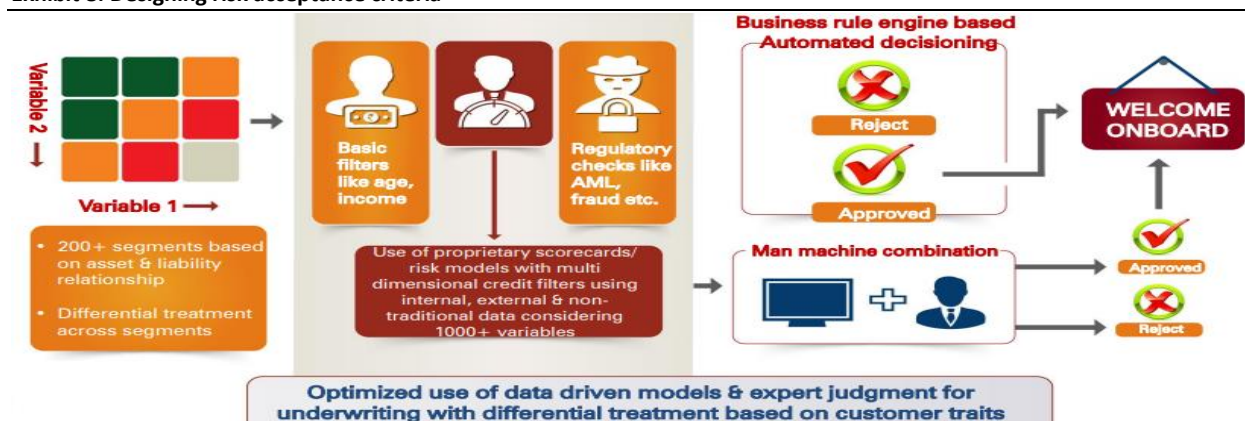
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Exhibit 7: Maximizing risk calibrated core operating profit (enabling assets quality)



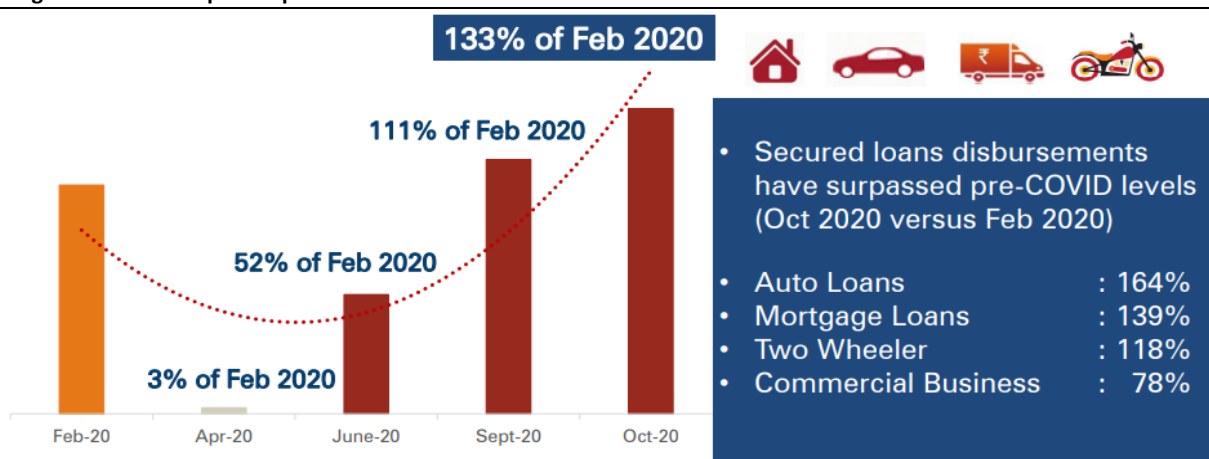
Source:- Company, Dalal & Broacha Research

Exhibit 8: Designing risk acceptance criteria



Source:- Company, Dalal & Broacha Research

Exhibit 9: Digital solutions helped in quick turnaround



Source:- Company, Dalal & Broacha Research

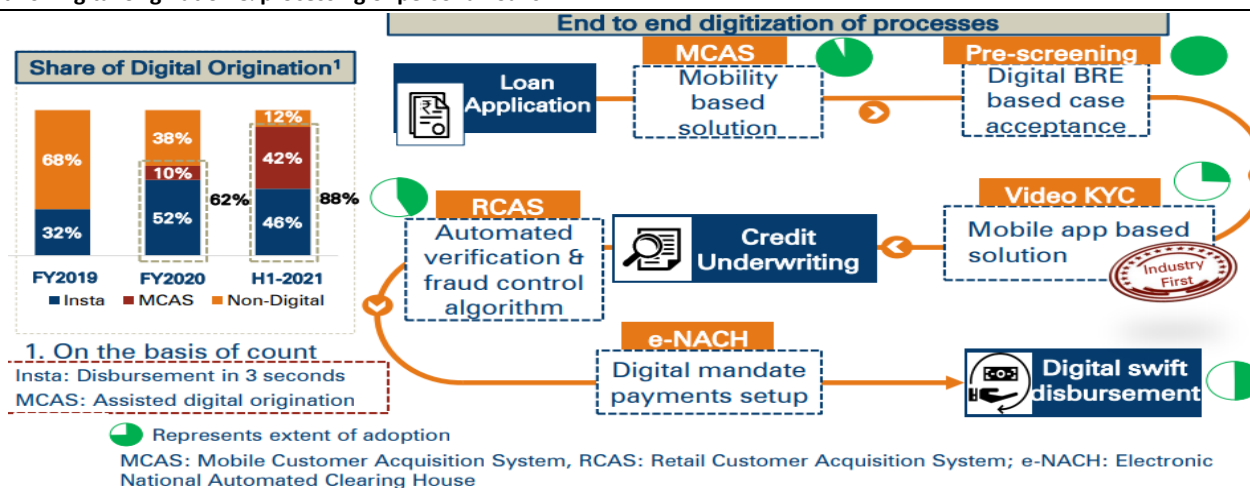


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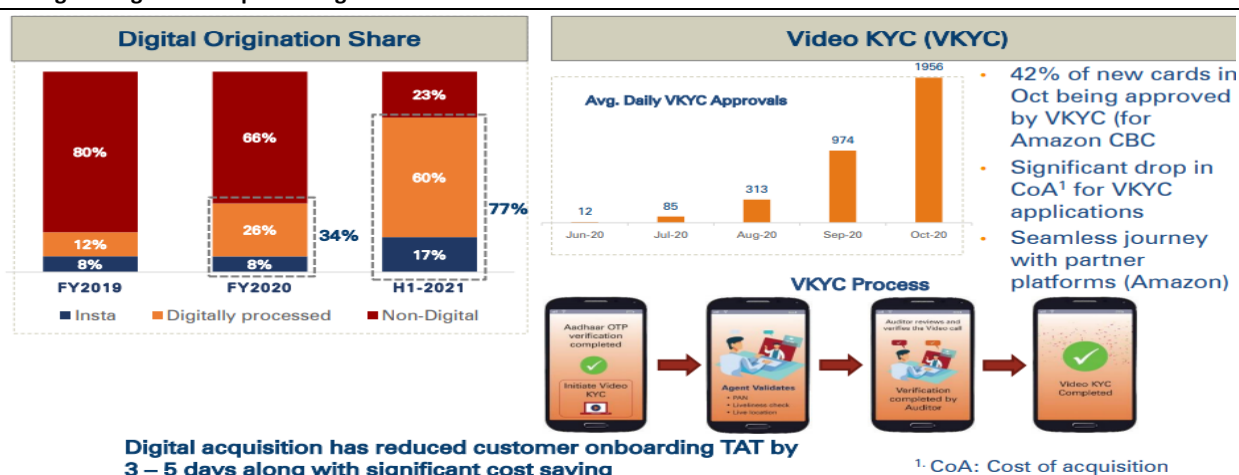
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Exhibit 10: Digital origination & processing of personal loans



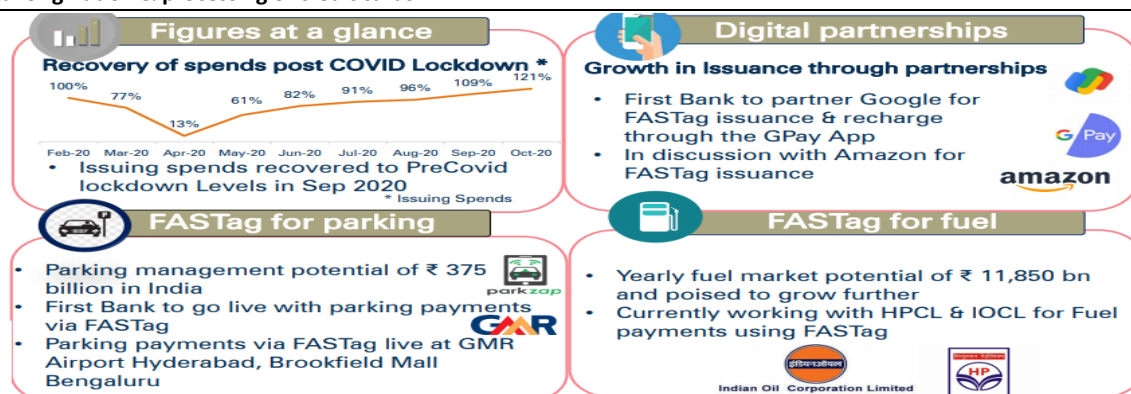
Source:- Company, Dalal & Broacha Research

Exhibit 11: Digital origination & processing of credit cards



Source:- Company, Dalal & Broacha Research

Exhibit 12: Digital origination & processing of credit cards



Source:- Company, Dalal & Broacha Research



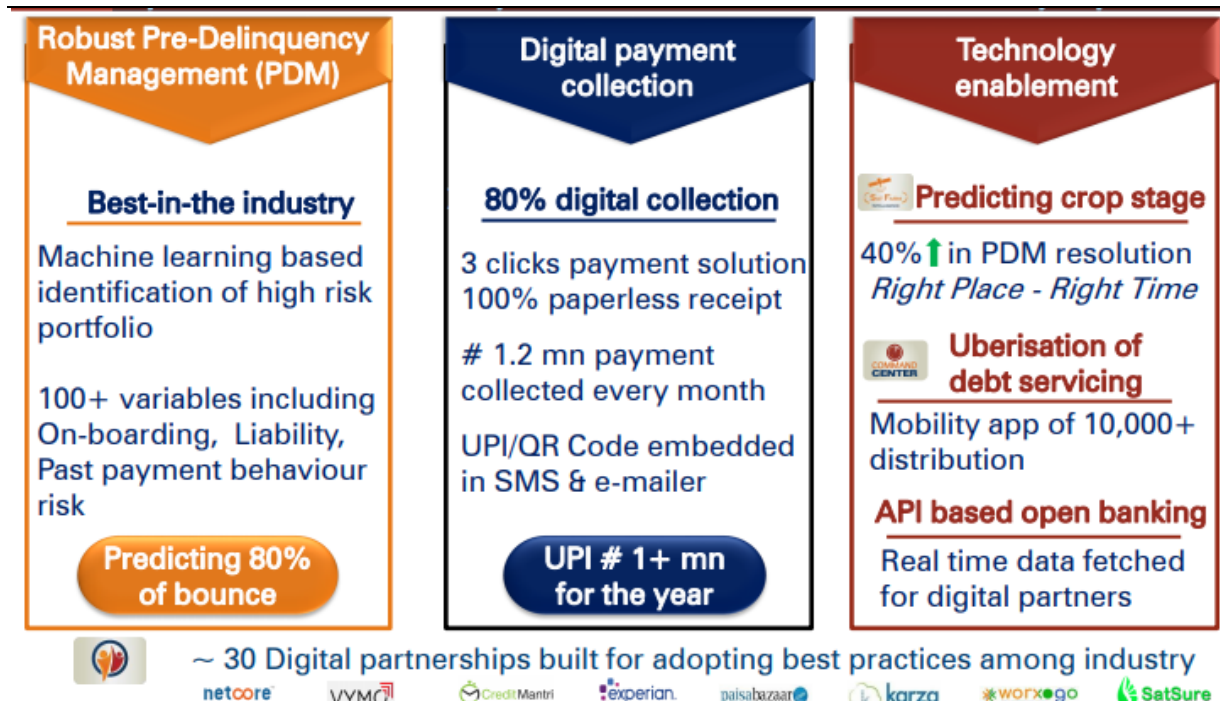
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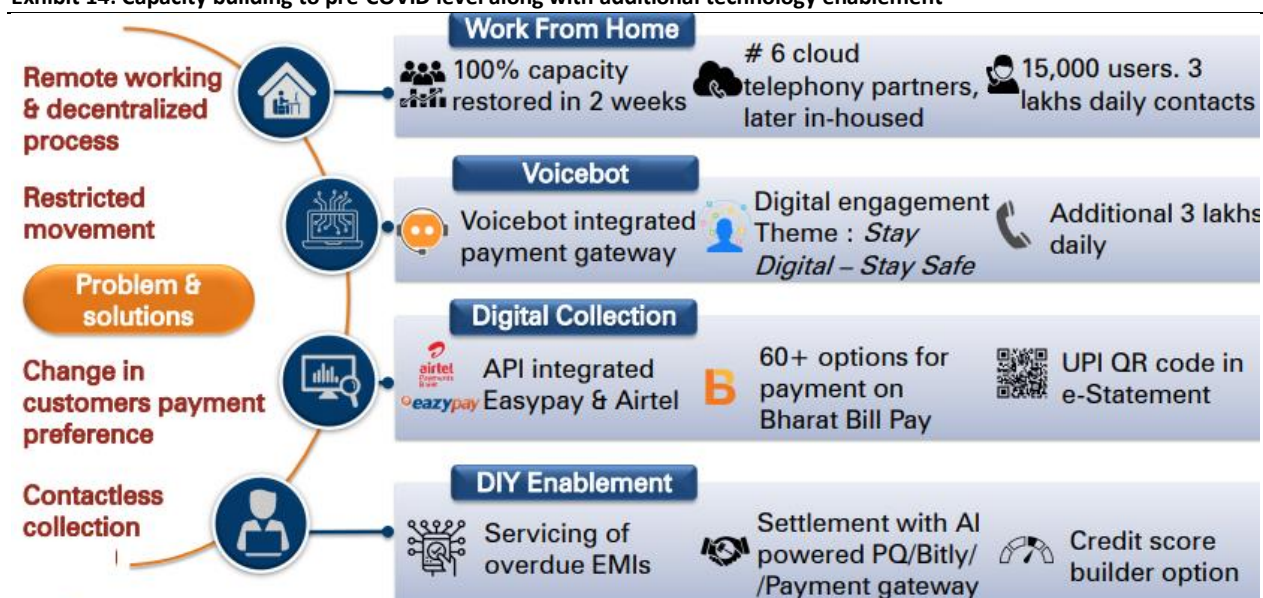
Capability Built: During COVID-19

Exhibit 13: Enhanced capabilities built over a period of time for better efficiency & productivity



Source:- Company, Dalal & Broacha Research

Exhibit 14: Capacity building to pre-COVID level along with additional technology enablement



Source:- Company, Dalal & Broacha Research



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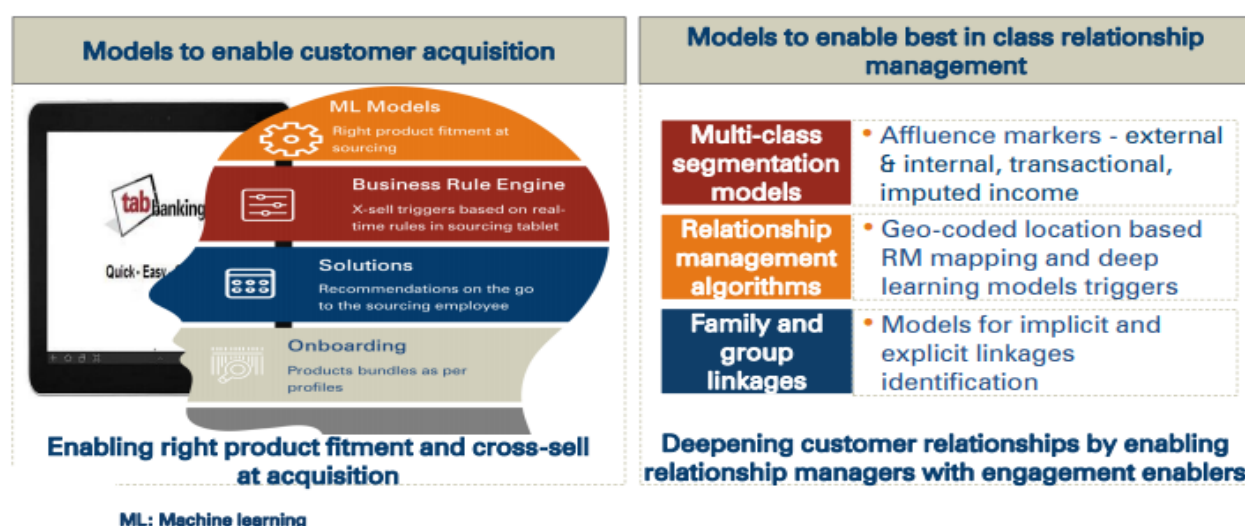
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Retail Liabilities

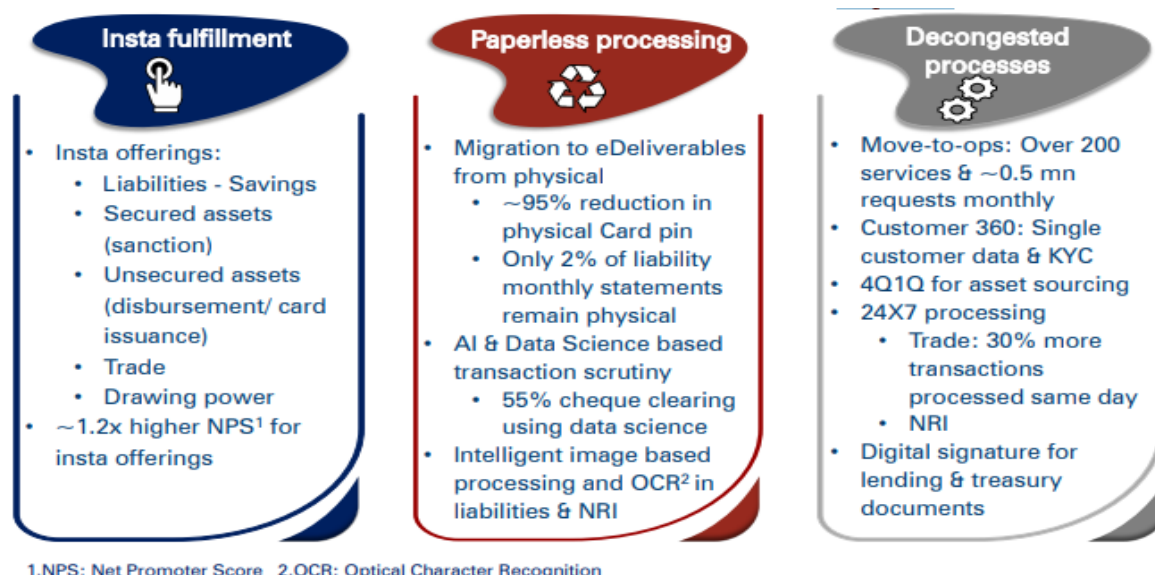
Building a low cost deposit franchise:- 1) Capture changing customer behaviour (through data & analytics) & accentuated digital trends; 2) then build customer profile & various persona based life stage & life events; 3) and Identify customer needs & preferences through sharp data analytics; 4) develop a hyper-personalized curated solutions – Capture customer 360 degree.

Exhibit 15: Data driven models for liabilities growth



Source:- Company, Dalal & Broacha Research

Exhibit 16: Value Creation across the Customer Life-Cycle



Source:- Company, Dalal & Broacha Research



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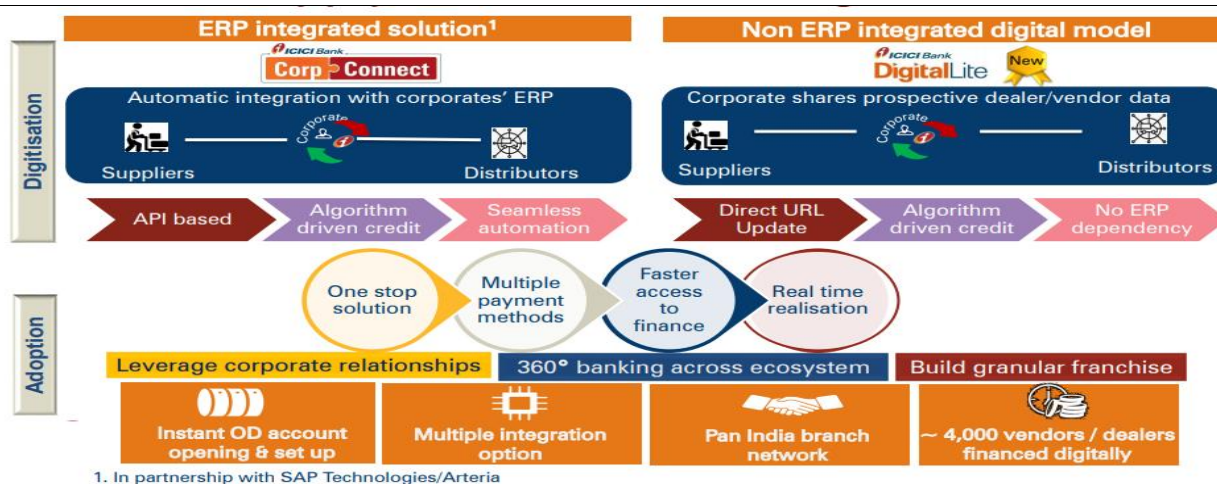
Business banking

- Management expects this portfolio to deliver strong growth on an on-going basis (BB loan book grew 37% YoY in 2QFY21), which would lead to a continued increase in its share of overall loans.
- Bank follows four levers of business strategy: (i) customized product offering, (ii) Enhance ecosystems through Partnerships with fin techs, (iii) Capturing Customer 360 degree relationship and (iv) Leverage Distribution.
- Bank offerings solutions across the spectrum of liabilities, trade, FX, credit, guaranties, payments, etc. make it a one-stop shop to capture the opportunities in this segment.

Key metrics

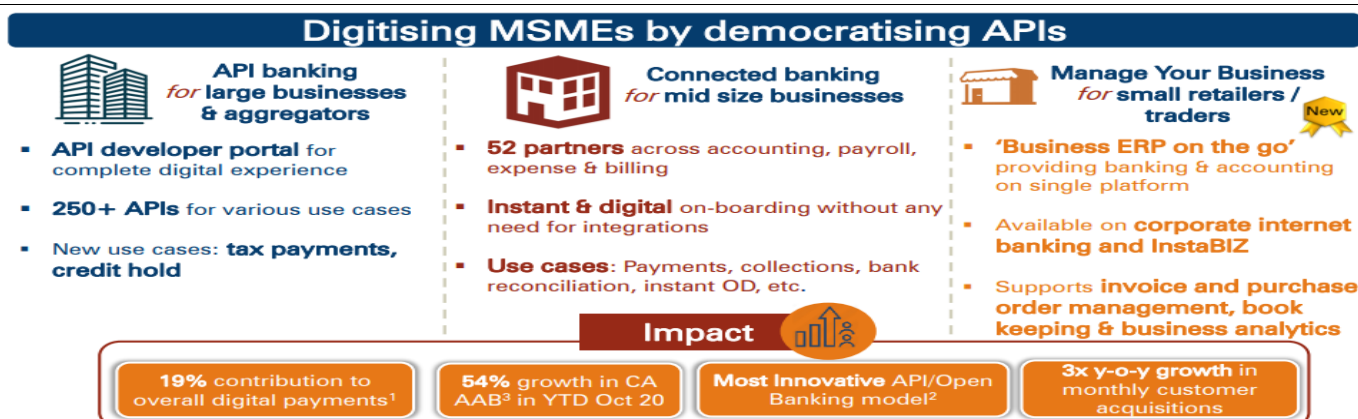
- 75% of the transactions are digital.
- 70% of the customers are active on digital banking.
- 30% of current account book is attached to CMS.
- 62% self-funding ratio for business banking asset book
- 85% business banking book with 100%+ collateral

Exhibit 17: Supply chain solutions...digital is new normal



Source:- Company, Dalal & Broacha Research

Exhibit 18: API banking: Leading the innovation curve...



Source:- Company, Dalal & Broacha Research



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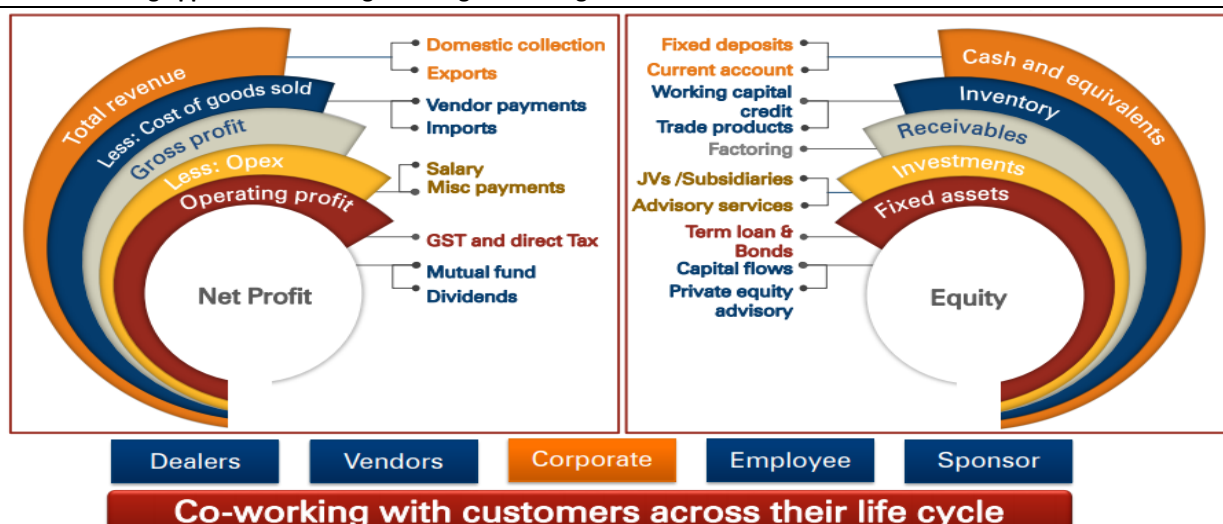
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Corporate Banking (focus on maximising risk calibrated core operating profit):-

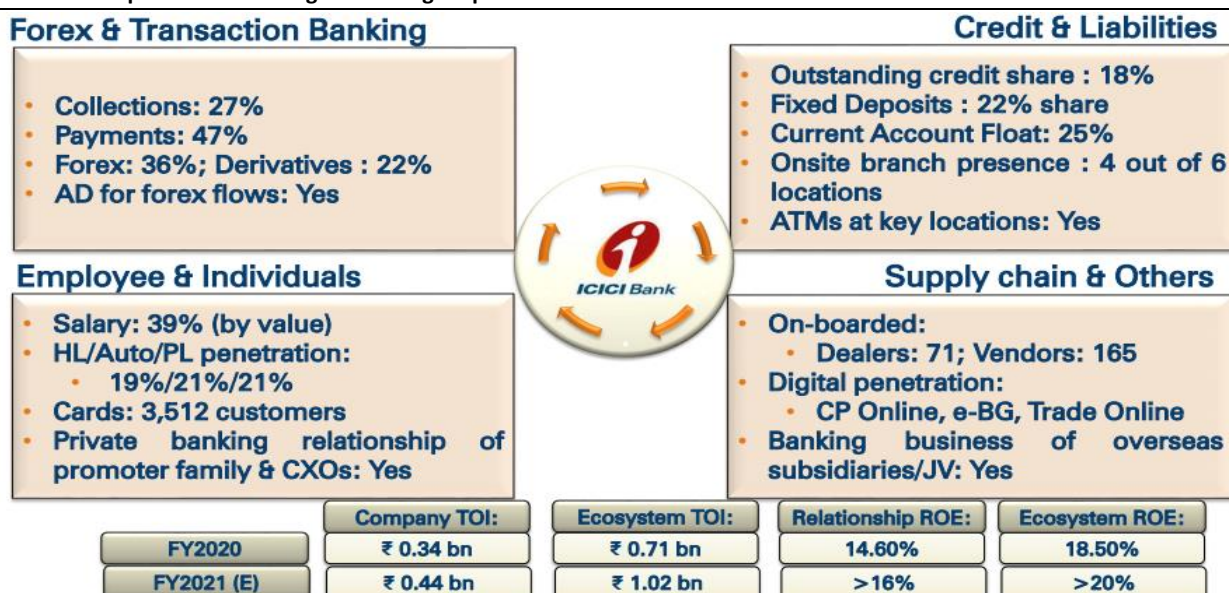
- Opportunities in corporate banking are available at a large scale as consolidation theme is playing out (all large borrowers now want fewer lenders), which is working in favour of ICICI Bank due to its strong liability franchise and pan India branch network.
- Bank has standardized credit process, with higher digitization & automation, for faster TAT and increased efficiency. Banking is evolving from just capital providers to business partners.
- Operating profit in the corporate segment has grown 1.6x over FY18-20 driven by a growth of 2x in corporate liabilities (both term and current), steady asset growth of 1.3x over two years (including originations) and strong increase in FX and trade market share.

Exhibit 19: Maximising opportunities through 360 degree banking



Source:- Company, Dalal & Broacha Research

Exhibit 20: An example of ICICI 360 degree coverage report



Source:- Company, Dalal & Broacha Research

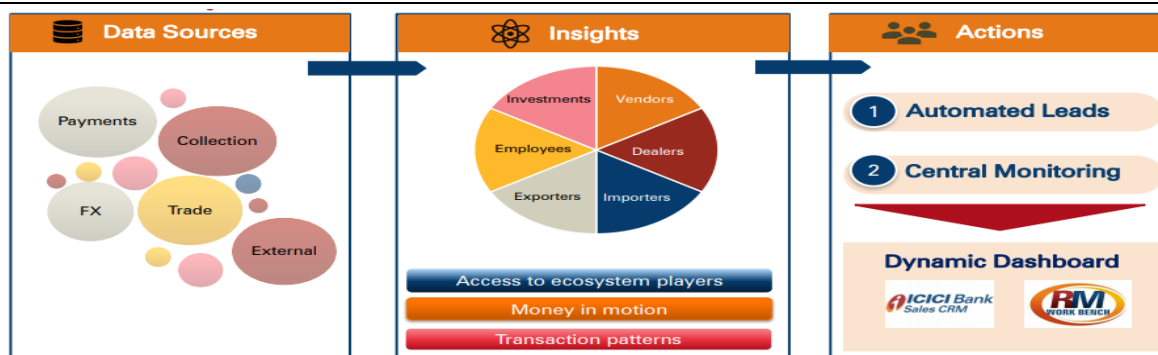


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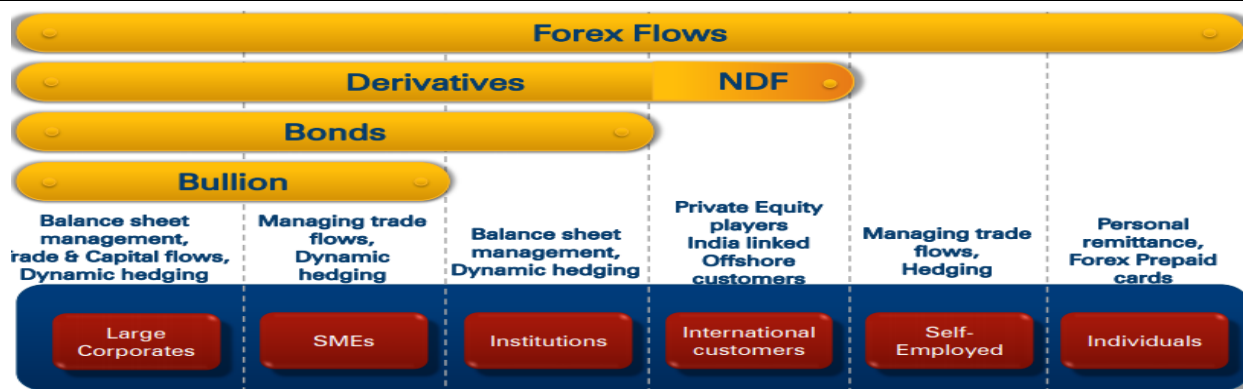
Exhibit 21: One Bank One Flow (OBOF)



Tangible increase in liability & operating income in identified customer cohorts

Source:- Company, Dalal & Broacha Research

Exhibit 22: One-stop solution for diverse needs



NDF: Non-deliverable forward

Source:- Company, Dalal & Broacha Research

Exhibit 23: Looking beyond FX: Debt capital markets



Source:- Company, Dalal & Broacha Research



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Story in Charts

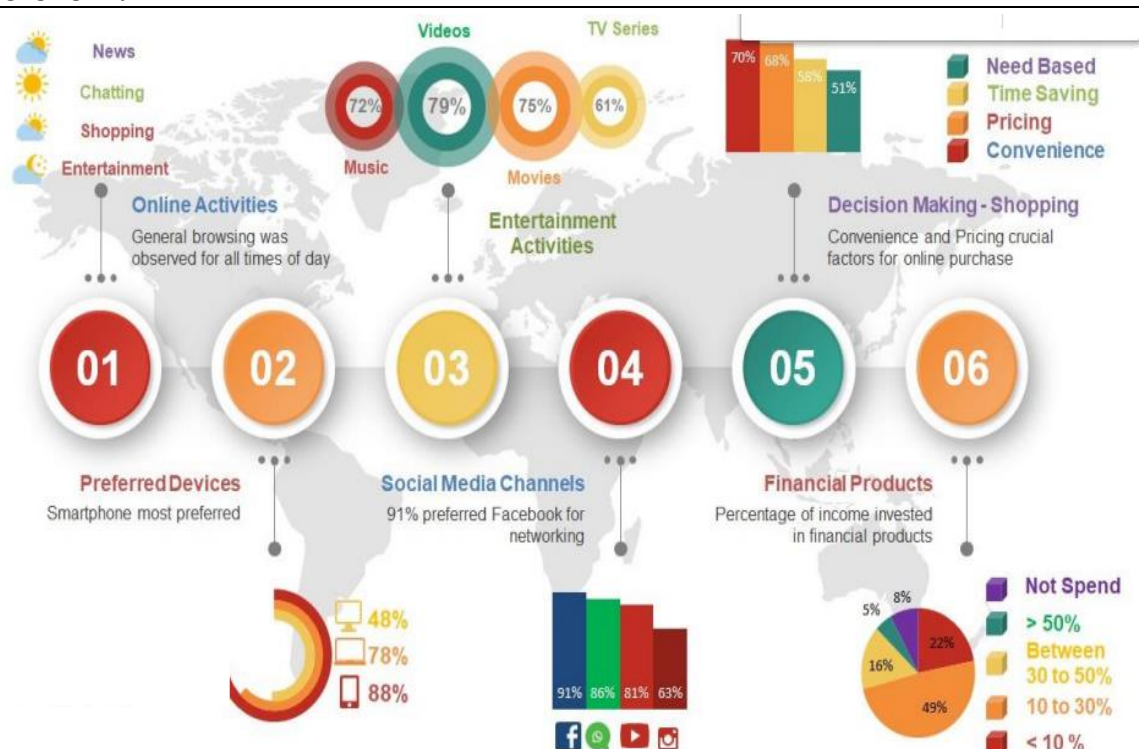
Changing customer behaviours & needs

Exhibit 24: New normal to Next normal



Source:- Company, Dalal & Broacha Research

Exhibit 25: Changing digital preferences of the customer



Insights based on research done by **Borderless Access** captioned **"Mapping Digital Consumer Trends and Making Sense of Digital Consumer Behaviour"**; Published Source : **MRMW** (Market Research in the Mobile World) (www.mrmw.net)

Source:- Company, Dalal & Broacha Research

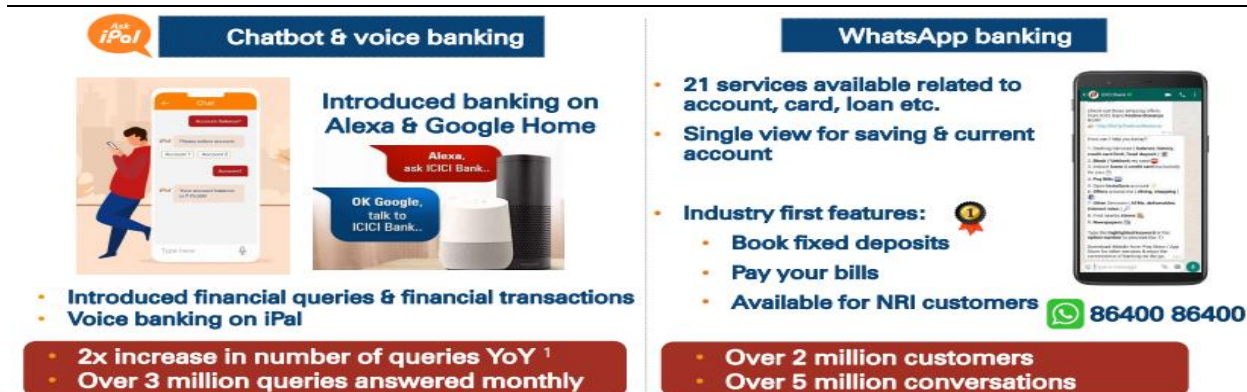


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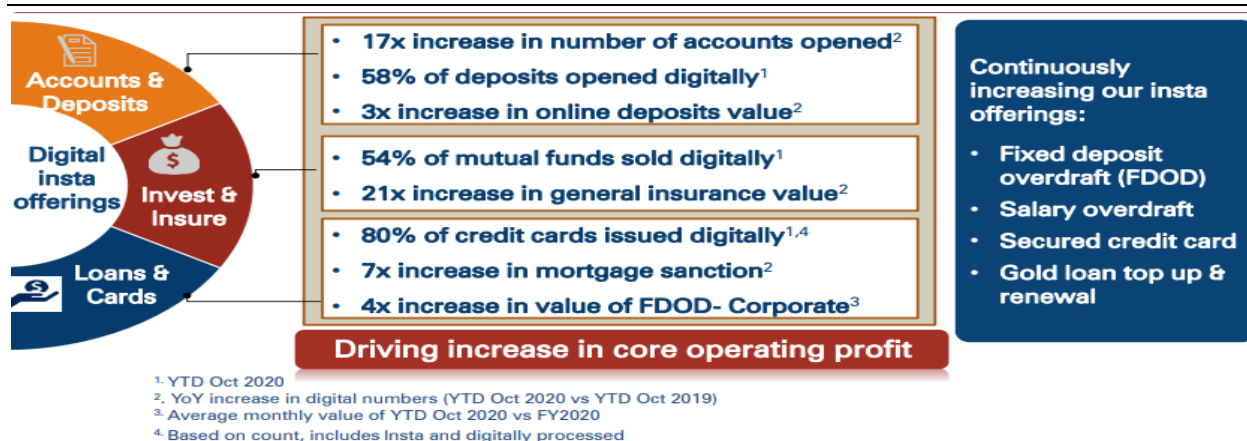
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Exhibit 26: Expanding channels



Source:- Company, Dalal & Broacha Research

Exhibit 27: Focusing on frictionless journeys, Insta products



Source:- Company, Dalal & Broacha Research

Exhibit 28: Open architecture (Digital partnerships & Co-creation)



Source:- Company, Dalal & Broacha Research

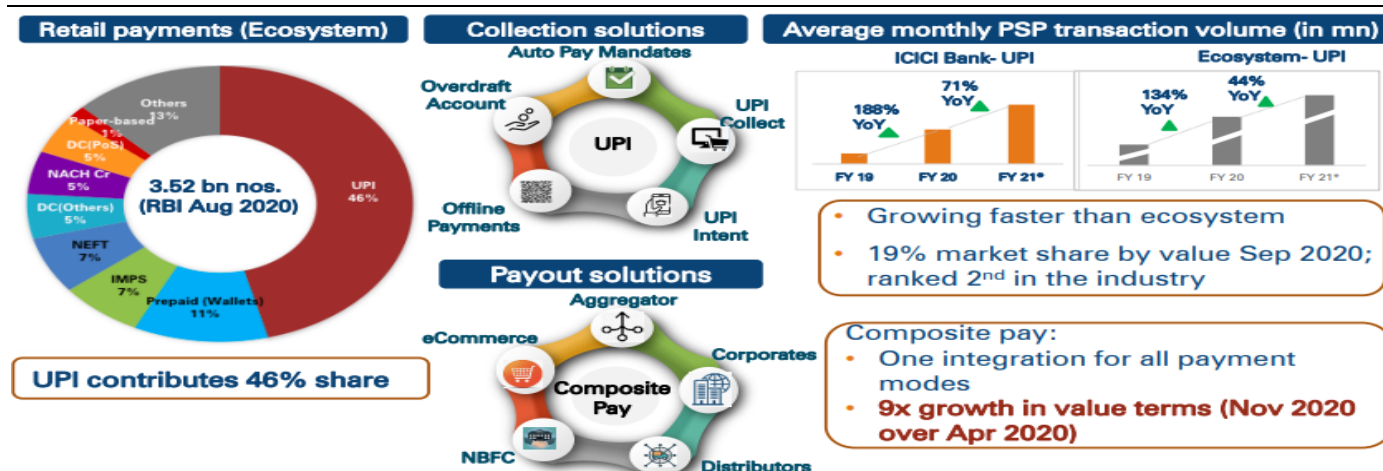


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Exhibit 29: Leading the digital payments wave



Source:- Company, Dalal & Broacha Research

Exhibit 30: New ICICI Bank website, iMobile – A platform for All



Source:- Company, Dalal & Broacha Research

Exhibit 31: Reach out to customers through hyper-personalized digital communications



Source:- Company, Dalal & Broacha Research



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Financials (In Rs Bn)

P&L (Rs Bn)	FY19	FY20	FY21	FY22
Interest Earned	634	748	813	918
Interest Expended	364	415	443	493
NII	270	333	370	425
Other Income	145	164	195	209
Net Income	415	497	566	634
Opex	181	216	230	255
PPOP	234	281	335	379
Provisions	197	141	156	132
PBT	38	140	179	247
Tax	4	61	45	62
PAT	34	79	134	185

BS (Rs Bn)	FY19	FY20	FY21	FY22
Capital	13	13	14	14
Reserves	1071	1152	1426	1574
Deposits	6529	7710	8719	9978
Borrowings	1653	1629	1499	1469
Other Liabilities	379	480	455	481
Total	9645	10984	12112	13515
Cash & Bank	803	1192	1432	1283
Investments	2077	2495	2834	3293
Advances	5866	6453	6956	8014
Fixed Assets	79	84	85	88
Other Assets	819	760	805	837
Total	9645	10984	12112	13515

Ratios (%)	FY19	FY20	FY21	FY22
Growth				
NII	17.3	23.1	11.3	14.8
Operating profit	-5.3	19.9	19.3	13.0
Net profit	-50	136	69	38
Advances	14.5	10.0	7.8	15.2
Deposits	16.4	18.1	13.1	14.4
Returns				
ROA	0.4	0.8	1.2	1.4
ROE	3.2	7.1	10.3	12.2

Ratios (%)	FY19	FY20	FY21	FY22
Asset quality				
GNPA	7.4	6.0	6.2	4.8
NNPA	2.3	1.5	1.8	1.2
PCR	71	76	72	75
Per share (Rs)				
EPS	5	12	19	27
ABVPS	147	165	191	216
P/E	96	41	26	19
P/ABVPS	3.4	3.0	2.6	2.3



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Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No



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Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Mrs. Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Mr. Mayank Babla	mayank.babladalal-broacha.com	022 67141412	I.T/Telecom/Media
Mr. Avinash Tanawade	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr. Akshay Ashok	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: research@dalalbroachaindia.com